BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - V

Money Markets and Capital Markets

Syllabus Topics Covered

- Indian financial system: nature, meaning, significance, functions, advantages
- Features and components of the Indian financial system
- Objectives, features and structure of money market and capital market
- Reforms and recent developments
- SEBI, stock exchanges; investor protection and role of SEBI
- Introduction to international finance

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

Contents

Topic	Section no.
Financial system and its components	1-2
Money market	3
Capital market and stock exchanges	4-5
Reforms, SEBI, investor protection	6-8
International finance	9
Questions and revision	10

1. Indian Financial System

1.1 Meaning

The financial system is the **network of institutions, markets, instruments and services** that helps in the **transfer of savings from savers (surplus units) to borrowers (deficit units)**, who use them for investment.

> **Definition - Van Horne**
> The financial system allocates savings efficiently to ultimate users, either for investment in real assets or for consumption.

Savers (households) → **Financial intermediaries and markets** → **Investors (firms, government)**

1.2 Nature (features)

- **Link between savers and investors:** mobilises idle funds into productive use
- **Part of the economy:** supports every sector - agriculture, industry, services
- **Regulated:** by RBI, SEBI, IRDAI, PFRDA and the Government
- **Dynamic:** changes with technology (UPI, fintech) and reforms
- **Mixed structure:** public sector, private sector and foreign institutions
- **Organised and unorganised sectors:** banks and markets vs money lenders and chit funds
- **Wide coverage:** short term (money market) and long term (capital market) finance

1.3 Significance and functions

- **Mobilisation of savings** and capital formation
- **Allocation of resources** to the most productive uses
- **Provision of liquidity:** assets can be easily sold and converted into cash
- **Payment and settlement system:** cheque, NEFT, RTGS, UPI
- **Risk management:** insurance, derivatives, diversification
- **Price discovery:** markets decide the price of shares, bonds and interest rates
- **Financial inclusion and growth:** loans to farmers, MSMEs, households
- **Reduces transaction cost and information cost**

1.4 Advantages

- Encourages **saving and investment habit**
- Makes **credit cheaper and widely available**
- Supports **government borrowing** and development finance
- Provides **safe and variety of instruments** to different investors
- Helps **economic growth and employment**
- Connects the Indian economy with **global finance**

2. Features and Components of the Indian Financial System

2.1 Four components

Financial institutions → **Financial markets** → **Financial instruments** → **Financial services**

Component	Meaning	Examples
Financial institutions	Intermediaries that mobilise and lend	Banks, NBFCs, LIC, mutual funds
Financial markets	Places where assets are traded	Money market, capital market, forex market
Financial instruments	Claims that carry a financial value	Shares, bonds, T-bills, deposits
Financial services	Support activities	Merchant banking, leasing, factoring, credit rating

2.2 Financial institutions

- **Banking institutions:** RBI, commercial banks (public, private, foreign), small finance banks, payments banks, regional rural banks, co-operative banks
- **Non-banking financial companies (NBFCs):** loan, investment and infrastructure finance companies
- **Development finance institutions (DFIs):** NABARD, SIDBI, EXIM Bank, NaBFID
- **Insurance companies:** LIC, GIC and private insurers
- **Mutual funds, pension funds** (NPS) and **provident funds**

2.3 Regulators of the financial system

Regulator	Area
RBI	Banks, NBFCs, money market, forex, payments
SEBI	Securities market, mutual funds, stock exchanges
IRDAI	Insurance
PFRDA	Pension (NPS)
IFSCA	International Financial Services Centre, GIFT City
Ministry of Finance / FSDC	Overall coordination

3. Money Market

3.1 Meaning

Money market is the market for **short term funds** - borrowing and lending for a period of **one day up to one year**. It deals with **near-money, highly liquid assets**. It is the place where the **RBI** carries out its monetary policy operations.

Definition

The money market is the centre for dealing mainly in short term money assets, which are close substitutes for money, for periods not exceeding one year (Crowther).

3.2 Objectives

- Provide a place for **short term investment of surplus funds**
- Provide **short term funds to borrowers** (working capital)
- Give **liquidity** to banks, companies and the government
- Help the **RBI to control liquidity** and interest rates
- Fix a **reference short term interest rate** (MIBOR / repo)

3.3 Features

- **Short term** (up to 1 year); **no fixed place** - telephone/electronic dealing
- **Wholesale market:** large amounts, few participants
- **High liquidity and low risk**; instruments are mostly discount based
- **Impersonal:** buyer-seller anonymous; RBI is the main regulator
- **Large number of instruments** with different maturities and issuers

3.4 Structure of the Indian money market

Money market → Organised sector → Unorganised sector

- **Organised:** RBI, commercial banks, mutual funds, insurance companies, primary dealers
- **Unorganised:** indigenous bankers, money lenders, chit funds, nidhis - not regulated; supply credit in rural areas

3.5 Participants

Participant	Role
RBI	Regulator; conducts OMO, repo, SDF
Commercial banks	Largest borrowers and lenders (call money)
Primary dealers	Underwrite and trade government securities
Mutual funds	Invest in T-bills, CPs, CDs (liquid funds)
Corporates	Issue CPs; invest surplus
Insurance firms, FIs	Large lenders

3.6 Instruments of the money market

- **Call / notice / term money:** overnight (call), 2 to 14 days (notice), 15 days to 1 year (term) interbank loans; interest = **call rate** (key indicator of liquidity)
- **Treasury Bills (T-bills):** issued by the Government of India at a discount, **91, 182 and 364 days**; safest instrument; no interest, bought at a discount and redeemed at face value
- **Commercial Paper (CP):** unsecured promissory note issued by good rated companies; maturity **7 days to 1 year**
- **Certificate of Deposit (CD):** negotiable time deposit certificate issued by banks; **7 days to 1 year**
- **Commercial Bills:** bills of exchange arising out of trade; discounted by banks
- **Repo and Reverse Repo / TREPS:** repo = sale of securities with an agreement to buy back; **TREPS** (Tri-Party Repo) replaced CBLO in 2018
- **Money Market Mutual Funds (MMMFs)** and liquid funds
- **Cash Management Bills (CMBs)** - short term government borrowing
- **Ways and Means Advances (WMA)** - RBI to government

3.7 Example: T-bill pricing

Item	Value
Face value	Rs 100
Discounted price (91 days)	about Rs 98.60
Return	Rs 1.40 for 91 days (about 5.7% a year)

3.8 Functions of the money market

- **Financing trade and industry** (working capital)
- **Providing a medium for the RBI's monetary policy**
- **Short term investment avenue** at low risk
- **Financing government deficit** through T-bills
- **Smooth functioning of the banking system:** daily liquidity adjustment between banks
- **Helps in the efficient use of funds** (no idle cash)

3.9 Reforms in money market

- Introduction of **new instruments:** CP (1990), CD (1989), T-bills auction (1992), repo, TREPS
- **LAF (Liquidity Adjustment Facility)** in 2000 and **MSF** in 2011; SDF in 2022
- **Interest rate liberalisation**; call money limited to banks and primary dealers
- **Setting up of FIMMDA, DFHI, CCIL** (Clearing Corporation of India Ltd. 2001)
- **Screen based trading (NDS-OM)** and RTGS settlement
- **Benchmark rates:** MIBOR and the overnight repo rate used as reference rates

4. Capital Market

4.1 Meaning

Capital market is the market for **long term funds** (more than one year) used for investment in fixed assets. It deals in **shares, debentures, bonds, government securities and mutual fund units**. It is the main route by which companies and the government raise **long term capital**.

4.2 Objectives

- **Mobilise long term savings** of households for industrial investment
- Provide **funds for expansion, modernisation** and new projects
- Give **investors a way to share the profits** of companies
- Provide **liquidity and exit** through secondary markets
- Support **economic growth and capital formation**

4.3 Features

- **Long term** funds; **risk is higher**, return is higher
- Instruments carry **ownership (equity) or debt** claims
- **Regulated by SEBI** (and RBI for government securities)
- Participants: individuals, companies, banks, FIIs/FPIs, mutual funds, insurers
- Depends on **investor confidence and economic conditions**

4.4 Structure of the capital market

Capital market → Primary market (new issues) → Secondary market (stock exchanges)

Gilt-edged market

Market for government and semi government securities (G-secs, SDLs) - safe, SLR eligible, regulated by RBI

[Industrial securities market] Market for corporate shares, debentures; has primary and secondary parts

[Development financial institutions] Long term loans from institutions such as NABARD, SIDBI, EXIM, NaBFID

4.5 Primary market

The primary market is where **new securities are issued for the first time** and money goes **directly to the company** . It is also called the **new issue market (NIM)** .

Method of issue	Meaning
Public issue - IPO	First time offer by an unlisted company to the public
FPO (Follow-on Public Offer)	Listed company offers more shares
Rights issue	New shares offered to existing shareholders in proportion
Bonus issue	Free shares to shareholders from reserves
Private placement / QIP	Sale to selected investors or qualified institutions
Offer for sale (OFS)	Existing shareholders (promoters) sell shares

- **Book building:** price band; demand is checked and the final price decided
- **ASBA** (Application Supported by Blocked Amount) and **UPI mandate** for IPO applications
- Agencies: **merchant bankers (lead managers), underwriters, registrar, bankers to the issue, brokers**

4.6 Secondary market

The secondary market is where **existing securities are bought and sold** between investors. The company does not get the money; investors get **liquidity** and **price discovery** . Examples: **BSE, NSE** .

4.7 Primary vs Secondary market

Basis	Primary market	Secondary market
Securities	New issues	Already issued (old)
Money goes to	Company	Selling investor
Place	No fixed place; issue process	Stock exchange
Aim	Raise capital	Liquidity and trading
Price	Fixed or book built	Decided by demand and supply
Intermediaries	Merchant banker, underwriter	Stock broker
Role	Capital formation	Marketability and valuation

4.8 Instruments of the capital market

- **Equity shares:** ownership; dividend and capital gain; highest risk; voting rights
- **Preference shares:** fixed dividend; priority over equity in repayment
- **Debentures / bonds:** loan to the company; fixed interest (convertible, non-convertible)
- **Government securities (G-secs) and State Development Loans (SDLs)**
- **Mutual fund units:** pooled investment run by professionals (equity, debt, hybrid; **SIP** route)
- **Derivatives:** futures and options based on shares and indices
- **REITs and InvITs:** invest in real estate and infrastructure projects
- **Exchange Traded Funds (ETFs), Sovereign Gold Bonds**
- **Depository receipts:** ADR, GDR for foreign listing of Indian companies

4.9 Money market vs Capital market

Basis	Money market	Capital market
Period	Up to 1 year	More than 1 year
Purpose	Working capital, liquidity	Fixed capital, expansion
Instruments	T-bills, CP, CD, call money	Shares, bonds, debentures, MF
Risk	Low	Higher
Return	Low	Higher
Participants	Banks, institutions, large firms	Retail and institutional investors
Regulator	RBI	SEBI (and RBI for G-secs)
Nature	Wholesale	Retail and wholesale

5. Stock Exchanges

5.1 Meaning

A **stock exchange** is an organised market where **listed securities are bought and sold** through registered members (brokers) under strict rules. It provides **liquidity, price discovery and safety** of transactions.

5.2 Major exchanges in India

Exchange	Key points
BSE (Bombay Stock Exchange)	Established **1875**, Asia's oldest; index **Sensex** (30 companies); first Indian exchange to get permanent recognition (1957)
NSE (National Stock Exchange)	Set up **1992**, trading began **1994**; screen based; index **Nifty 50**; largest in India by volume, pioneer of derivatives
MSE (Metropolitan Stock Exchange)	Smaller national exchange, also regulated by SEBI
India INX / NSE IX (GIFT City)	International exchanges at IFSC, Gujarat

5.3 Functions of stock exchange

- **Provide liquidity and marketability** to securities
- **Price discovery:** reflects the value of a company
- **Safety:** rules, margin, settlement guarantee by clearing corporations
- **Mobilise savings** and ensure capital formation
- **Barometer of the economy** (Sensex, Nifty show the economy's mood)
- **Corporate governance:** disclosure and listing norms
- **Wealth effect and spread of equity culture**

5.4 Trading and settlement

- **Screen based, online order matching** - no trading floor
- **Dematerialisation (demat):** shares are held electronically with depositories **NSDL (1996)** and **CDSL (1999)**; investor needs a **demat account + trading account + bank account**
- **Clearing corporations:** NSCCL and ICCL guarantee settlement
- **Settlement cycle:** rolling **T+1** (since January 2023, India is one of the few big markets with T+1); **optional T+0** introduced in 2024
- **Circuit breakers** (price bands and index based halts) to stop panic movements
- **Market participants:** brokers, sub-brokers, FPIs, DIIs, retail, market makers

6. Reforms and Recent Developments

6.1 Reforms since 1991

- Setting up SEBI as a statutory regulator (1992); abolition of the Controller of Capital Issues
- Free pricing of issues ; disclosure norms; book building (1995)
- Screen based trading (NSE 1994), depository system (1996), rolling settlement
- Entry of FIIs/FPIs (1992) and Indian companies on ADR/GDR markets
- Derivatives trading started in 2000; mutual funds opened to private sector (1993)
- Credit rating agencies (CRISIL, ICRA, CARE) and Takeover code , insider trading regulations
- Corporate governance norms (Clause 49 / LODR) and Companies Act 2013

6.2 Recent developments (2022-2026)

- T+1 settlement (Jan 2023) and optional T+0 (Mar 2024)
- UPI based IPO applications and shorter listing time (T+3 days)
- Strong retail participation: demat accounts about 23.8 crore (Aug 2026), up from under 5 crore in Dec 2020
- Mutual funds: AUM about Rs 87 lakh crore and monthly SIP inflows over Rs 32,000 crore (Aug 2026); SIP accounts crossed 10 crore
- India ranks first in the world by number of IPOs and third in fundraising (SEBI FY26 report)
- Tighter F&O norms (2024) because SEBI study found most individual derivative traders lose money
- Demat 2.0 pilot for tokenised corporate bonds on distributed ledger technology (Sept 2026)
- Project Jagrook and many investor awareness drives; new simplified ASBA / SCORES 2.0
- Capital markets reforms in Budget 2026-27: higher STT on derivatives; compliance simplification
- Digital rupee (CBDC) , GIFT City IFSC , REITs/InvITs, Sovereign Green Bonds, SME exchanges

Exam hint

Always write 5 to 6 reforms with dates. Examiners like numbers and the names of regulators.

7. SEBI - Securities and Exchange Board of India

7.1 Establishment

- Set up in 1988 as a non-statutory body; given statutory status on 12 April 1992 by the SEBI Act, 1992
- Headquarters: Mumbai (BKC) ; regional offices at Delhi, Kolkata, Chennai, Ahmedabad
- Chairman: Tuhin Kanta Pandey (since March 2025)
- Reason: stock market scams (Harshad Mehta 1992) showed the need for a strong regulator

7.2 Objectives

Protect investors → **Develop the market** → **Regulate the market**

- » Protect the interests of investors in securities
- » Promote the development of the securities market
- » Regulate the securities market and intermediaries

7.3 Composition

- Chairman (appointed by Central Government), 2 members from Ministry of Finance , 1 member from RBI , and 5 other members (at least 3 whole time members)
- Securities Appellate Tribunal (SAT) hears appeals against SEBI orders; further appeal to the Supreme Court

7.4 Functions of SEBI

Protective functions

Prohibit insider trading, fraudulent and unfair trade practices ; check price rigging ; investor education; promote fair practices and code of conduct for intermediaries; control of substantial acquisition and takeovers

[Regulatory functions] Registration of brokers, sub-brokers, merchant bankers, mutual funds, FPIs, credit rating agencies ; regulate stock exchanges, depositories and mutual funds ; framing of rules and regulations (ICDR, LODR, PIT); inspection and audit of intermediaries

[Developmental functions] Training of intermediaries; promote self regulatory organisations ; research and publication; permit new products (REITs, InvITs, SM REITs); market development in GIFT City

7.5 Powers of SEBI

- **Quasi-legislative:** makes regulations
- **Quasi-judicial:** can pass orders, impose **penalty**, suspend or cancel registration
- **Executive:** can inspect books, **search and seize**, investigate, attach assets

8. Investor Protection and Role of SEBI

8.1 Why investor protection?

- Small investors lack information and bargaining power
- Frauds like **ponzi schemes**, **rigging**, **insider trading**, **mis-selling** cause losses and reduce trust in markets

8.2 Investor protection measures

- **Disclosure norms:** prospectus, annual reports, quarterly results, **LODR (Listing Obligations and Disclosure Requirements) Regulations 2015**
- **Prohibition of fraud and insider trading:** **PFUTP Regulations 2003** and **PIT Regulations 2015**
- **KYC and Know Your Client** norms; **demat form** to avoid fake shares
- **Grievance redressal:** **SCORES** portal and **SMART ODR** (online dispute resolution)
- **Investor Protection Fund / Investor Education and Protection Fund (IEPF)** under Companies Act
- **Mandatory credit rating** for debt issues; role of **trustees** for debenture holders
- **ASBA / UPI** for IPO - money stays in investor's account until allotment
- **Mutual fund regulation:** risk-o-meter, TER limits, scheme categorisation
- **Investor awareness:** Saarthi app, Investor Awareness programmes (Project Jagrook, 2026), Investor Certification
- **Circuit filters**, **margin rules**, **settlement guarantee** protect from market manipulation
- **Corporate governance:** independent directors, audit committees

8.3 Investor rights (basic)

Right	Meaning
Right to information	Get all material facts
Right to fair treatment	No discrimination or unfair practices
Right to redressal	Complaint and compensation
Right to education	Awareness of products and risks

9. Introduction to International Finance

9.1 Meaning and scope

International finance deals with **financial and monetary relations between countries** : foreign exchange, balance of payments, international investment, and the institutions which support cross border flows.

Scope

Foreign exchange market | Exchange rate systems | International capital flows (FDI, FPI, ECB) | International financial institutions (IMF, World Bank) | Risk management (hedging)

9.2 Foreign exchange market and exchange rate

- **Foreign exchange (forex)** market is where currencies are bought and sold; the **largest financial market** of the world
- **Exchange rate** is the price of one currency in terms of another (for example Rs per US dollar)

System	Meaning	Example
Fixed	Government fixes the rate	Bretton Woods (1944-71)
Floating (flexible)	Market decides by demand and supply	USD, Euro
Managed float	Market decides; central bank intervenes	**India (RBI)**

- **Spot, forward, swap** transactions; **forex reserves** held by RBI; **FEMA 1999** governs forex (replaced FERA)

9.3 International capital flows

- **FDI** (Foreign Direct Investment): long term, controlling interest; stable
- **FPI / FII:** investment in shares and bonds; volatile ("hot money")
- **ECB:** loans from foreign lenders by Indian firms
- **NRI deposits and remittances**
- **ADR / GDR:** Indian shares listed abroad as depository receipts
- **Foreign currency bonds** (Masala bonds in rupees)

9.4 International financial institutions

Institution	Role
IMF (1944/45, Washington)	Exchange rate stability, short term BoP loans, SDR
World Bank (IBRD, 1944)	Long term loans for development and reconstruction
WTO	Trade rules
BIS (Basel)	Central banks' bank; Basel norms
ADB, AIIB, NDB (BRICS)	Regional development funding

IFSC (GIFT City)	International financial hub in India

Bretton Woods system

Created IMF and World Bank in 1944; fixed rates linked to the US dollar and dollar to gold, which collapsed in **1971** (Nixon shock), leading to floating rates.

9.5 Risks in international finance

- **Exchange rate risk:** changes in currency value; managed by **hedging** (forwards, options, swaps)
- **Interest rate risk, country risk, credit risk**
- **Capital flight and sudden stops** (taper tantrum 2013, rate hikes 2022-23)
- **Currency convertibility:** India has **full convertibility on current account** (since 1994) and **partial on capital account**

9.6 India and international finance

- Large and growing **forex reserves** to guard against shocks
- **Rupee internationalisation:** trade settlement in rupees with several countries; UPI linkages abroad
- **GIFT City IFSC** and growing global investor interest in Indian markets
- Inclusion in **global bond indices** (JP Morgan GBI-EM, 2024) attracts foreign flows

10. Important Questions and Quick Revision

Short answer (5 marks)

- Define financial system. Explain its components.
- Distinguish between money market and capital market.
- Explain the instruments of the money market.
- What is the primary market? Explain methods of floating new issues.
- Write short notes on: SEBI, NSE and BSE, demat account, T-bills.

Long answer (10 marks)

- Explain the structure and functions of the Indian financial system.
- Discuss the objectives, features and structure of the money market. Add notes on reforms.
- Explain the structure of the capital market and its instruments.
- Discuss the functions of SEBI and explain how SEBI protects investors.
- Explain the recent developments in the Indian capital market.
- Write an introduction to international finance.

Quick revision sheet

Topic	Remember
Money market	Up to 1 year; T-bills, CP, CD, call money, repo, TREPS; RBI regulates
Capital market	Over 1 year; shares, bonds, MF; SEBI regulates
Primary market	IPO, FPO, rights, private placement, OFS
Stock exchanges	BSE 1875 (Sensex); NSE 1992 (Nifty 50)
SEBI	Statutory from 12 April 1992; Chair Tuhin Kanta Pandey
Settlement	T+1 since Jan 2023; optional T+0 since 2024
Demat accounts	About 23.8 crore (Aug 2026)
International finance	Forex, BoP, FDI/FPI, IMF, World Bank, exchange rate systems